

LOAN AGREEMENT NO. 4LMK12MXVS DATED 02 August 2025

SPECIAL TERMS

These Special Terms shall be read together with the General Terms, and together they constitute the Loan Agreement.

WATU CREDIT LIMITED (CPR/2013/118599), a limited liability company incorporated in Kenya and having its registered office situated in Nairobi (Hill Park Building, Lower Hill Road, P.O Box 15138-00100), hereinafter called the **Lender** (which shall include any successors in title and assigns); and

Borrower's Name:	Faith Awuor Ochieng	Physical Address:	
Identification document number:	ID card 40530165	Mobile Phone:	+254 714723069

hereinafter called the **Borrower** (which shall include any successors in title and assigns).

The Borrower has requested the Lender to provide to the Borrower a loan for the purchase of a mobile device described below, hereinafter called the **Device**, under the following terms:

Device:	Smartphone	Monthly interest rate*:	22.56
Device Model:	Samsung A05 (A055E/DS) 64GB/4GB	Loan Amount:	10,400 KES
Serial Number:	R92Y60LXKGM	Total repayment amount:	30,324 KES
IMEI Number:	351830441894065	Instalment amount:	583 KES
Device Price:	14,200 KES	Payment frequency:	Weekly
Down-payment:	3,800 KES	Loan duration:	12 months

*APR - 270.67%

The **Borrower** shall transfer the down-payment to the **Lender** by using mobile money, and thereafter the **Lender** shall transfer the full Device Price (which includes the down-payment and the loan amount), to the **Seller** of the device. The **Borrower** hereby confirms and requests that down-payment and loan amount shall be paid to the **Seller** directly.

By entering into this Agreement, the **Borrower** confirms that he/she has read, understood and accepted the General Terms of the Loan Agreement which were made available to me during onboarding and are available on the **Lender's** website at <https://watuafrika.com/watu-simu/> and the contents of this Agreement was duly explained and interpreted (if applicable) to me.

SIGNED BY THE LENDER

On behalf of Watu Credit Limited

Richard Olewe

(NAME, LAST NAME)



(SIGNATURE)

SIGNED BY THE BORROWER

Faith Awuor Ochieng

(NAME, LAST NAME)



(SIGNATURE)

General Terms for Watu Simu Mobile Device Loan
(Version 2.0, as approved by Watu Credit Limited on 1 November 2023)

These General Terms shall be read together with the Special Terms, and together they constitute the Loan Agreement

1. Purpose of the Loan

- 1.1. The Loan Amount is used towards the purchase price of the Device. The Borrower hereby instructs and authorises the Lender to transfer the full Device Price amount (which consists of the Loan Amount and the Downpayment) directly from the Lender to the seller of the Device.
- 1.2. The Loan Amount shall be repaid in weekly instalments together with the Interest and any other applicable payments, fees, or penalties.
- 1.3. The Device is selected by the Borrower, and the Lender is not liable to deliver the Device, to service or maintain it or to provide any other services related to the Device. All warranty related inquiries shall be directly addressed to the seller of the Device. However, the Borrower shall inform the Lender of any warranty-related claim that may result in the replacement of the Device.
- 1.4. The Borrower is the beneficial owner of the Device. Full Device ownership and control shall pass to the Borrower after the Total repayment amount, any other applicable payments, late interest, fees, or penalties are paid to the Lender in full.
- 1.5. Until the Borrower has paid in full the Total repayment amount and any other applicable payments, fees, or penalties, the Lender has collateral rights over the Device as described below.

2. Repayment of the Loan, Interest, Fees and Penalties

- 2.1. Total repayment amount shall be paid in weekly instalments beginning from First payment date which is 7 (seven) days after the Device has been released to the Borrower.
- 2.2. In consideration of granting the Loan, the Borrower shall pay the interest to the Lender at the monthly Interest Rate indicated in the Special Terms. Interest will be calculated on a declining balance basis payable weekly.
- 2.3. Total Repayment Amount includes the Loan Amount and Interest (but excludes any late payment interest or other applicable fees).
- 2.4. The Borrower shall make all payments due to the Lender in respect of the Loan, including but not limited to the Interest, late payment interest, and fees, using designated mobile money payments system (M-PESA or Airtel Money) to the paybill number notified by the Lender.
- 2.5. The Borrower may repay the loan at any time before the due date by making such an early repayment application to the Lender one week in advance. For the avoidance of doubt, early repayment means and shall include a situation where the Borrower wants to pay a weekly instalment before the due date or he/she intends to pay the Total repayment amount.
- 2.6. If the Borrower fails to repay the Loan and/or Interest, fees or any other amount due or owing to the Lender, the Borrower will be charged the late payment interest of 0.5% daily from any overdue principal Loan amount.

3. Lender's rights over Device

- 3.1. The Borrower agrees that the Lender throughout duration of the Agreement maintains rights over the Device which allows the Lender to install a Device manufacturer approved firmware and security software (with any future updates), restrict usage of and deactivate the Device as well as to see the Device's GPS location if the Borrower defaults on paying the weekly instalment or is otherwise in arrears or default.
- 3.2. If the Borrower fails to pay a weekly instalment(s) or any other applicable payment in time, the Lender may deactivate the Device until such payment is received. The Lender may temporarily re-activate the Device if the Borrower commits to a certain minimum payment.
- 3.3. The Lender's rights over the Device shall terminate upon full payment of the Total repayment amount which shall include accrued fees and/or late payment interest as per this Agreement.
- 3.4. The Borrower agrees not to attempt to tamper with the rights granted to the Lender over the Device, and any attempt to do so could void the warranty of the Device and violate the intellectual property rights of the Device manufacturer and/or the Lender and constitute a default under this Agreement. The Lender may also seek recourse to civil and criminal remedies afforded by law.
- 3.5. The Lender has the right to report the Borrower's credit history and non-performance of the Borrower's payment obligations to the credit reference bureau.
- 3.6. The Lender may remotely install firmware and software security updates, proprietary or third-party applications on the Device to facilitate information sharing between the Lender and its clients (related to collateral tracking, new service offering etc.). The Lender will provide the possibility to opt-out if such an application is not essential to Borrower's obligations under this Agreement.

4. Borrower's obligations

- 4.1. The Borrower shall pay the Total repayment amount and any other applicable payments, fees, or interest within the terms and amounts prescribed in this Agreement.
- 4.2. The Device shall be used solely in accordance with the instructions provided in the Device instruction manual and end-user licence agreement (where applicable). The Borrower shall maintain the Device in proper repair and working condition. If the Borrower contravenes any of the instructions provided in the Device manual, it will result in forfeiture of the warranty of the Device.
- 4.3. The Borrower agrees that even if the Device is lost, stolen, or damaged out-of-warranty, the Total repayment amount and any other applicable payments, fees, or interest shall be paid fully to the Lender according to the Loan terms above. In case of Device theft, the Borrower must immediately report this to police, as well as notify the Lender by calling Watu Customer care.
- 4.4. The Borrower undertakes not to sell and to keep the Device exempt from the claims of any other party, and shall not alienate, pledge, assign or charge the Device or create any other encumbrance or lien until the Total repayment amount and any other applicable payments, fees, or interest is paid.
- 4.5. The Borrower shall not tamper with Device (including but not limited to altering or removing the Device serial number or other identification marks), open, alter the Lender's rights over the Device or tamper with the firmware or security software, reverse engineer, misappropriate or modify and/or use the Device in any other way not authorised by the Lender or aid any third party to do the same.
- 4.6. The Borrower grants to the Lender, its employees, or agents all reasonable facilities and opportunity for the inspection of the Device including but not limited in respect to any repair services or to investigate any unauthorised uses of the Device or breach of the Agreement during the term of the Agreement.
- 4.7. In order to secure the Borrower's payment obligations under the present agreement, the Borrower agrees and accepts that the security rights are established over the motor vehicle owned by the Borrower under the loan agreement entered into between the Lender and the Borrower (if applicable).
- 4.8. The Borrower commits a breach when he/she defaults on any of its obligations contained in the present Agreement. And upon the breach, the Lender has the right to terminate the Agreement and request immediate payment of the remaining Total repayment amount and any other applicable payments, fees, or interest. The Lender shall be entitled at their discretion, to sue for the repayment of these amounts and/or take possession of the Device without any court application.
- 4.9. In case of default, the Lender on behalf of the Borrower is entitled to sell (by way of private sale or public auction at the choice of the Lender) or otherwise dispose of the Device in its present condition or following any commercially reasonable preparation to recover any outstanding Repayment Amount.
- 4.10. The Borrower shall be liable to cover the Lender's costs related to debt collection and possession recovery and disposal of the Device.

5. Disclosure and protection of personal data

- 5.1. In order for the Lender to assess the Loan application and to provide the Loan, the Borrower provides the Lender with certain personal information including but not limited to: name, address, phone number, date of birth, income details, PIN, ID number, ID document copy, next of kin name and phone number ("Personal Information").
- 5.2. By signing this Agreement the Borrower hereby consents and authorises the Lender to collect, process, store and transfer the Borrower's personal

data, and information relating to the Loan application, the Loan, the Repayment details, GPS location, IP address, mobile network operator, Device OS and firmware details and any other data or details within the limits permitted by law. The permitted uses may include:

- (a) in order to provide the Lender's services to the Borrower;
- (b) in order to perform the Lender's obligation under this Agreement;
- (c) prevention, detection, investigation or prosecution of criminal activities or fraud;
- (d) exchange of information with the Lender's service providers, dealers, agents, assignees or any other company that may be or becomes the Lender's subsidiary or holding company for reasonable commercial purposes relating to the services;
- (e) to and from a Credit Reference Bureau to obtain Borrower's credit report;
- (f) to the Lender's lawyers, auditors or other professional advisors;
- (g) any court or arbitration tribunal in connection with any legal proceedings;
- (h) for reasonable commercial purposes related to financings, such as marketing and research related activities; and
- (i) in business practices including but not limited to quality control, training and ensuring effective systems operation.

5.3. The Borrower hereby agrees and authorises the Lender to obtain and procure Personal Data contained in IPRS from the Government of Kenya and the Borrower further agrees and consents to the disclosure and provision of such Personal Data by the government institutions of Kenya to the Lender.

5.4. The Borrower hereby expressly consents and authorises the Lender to request and receive any credit history data about the Borrower from a Credit Reference Bureau.

5.5. The Lender undertakes that it will duly observe its obligations as a data controller under any applicable data protections laws which arise in connection with the collection and processing of the Personal Data.

5.6 The Borrower by signing this Agreement and the annexed terms & conditions, hereby consents that the Lender and the contracted service provider shall collect and process personal data through a software that has been introduced on the Device for downloading by the Borrower upon possession.

5.7 By the Borrower signing the Loan Agreement as the data subject, the Lender hereby receives the express consent to the processing of the Borrower's personal data for all the stated purposes.

5.8 The Borrower consents and accepts that the downloaded software may collect and use technical data and related information, including but not limited to, technical information about the Device as well as the technical and configuration and geographical data collected periodically by the downloaded Software. The Borrower further consents that through the Software, the Lender shall access and read all received and dispatched SMS from the Device and detect Device location while allowing the Borrower to view the loan data and make payments through MPESA USSD platform.

5.9 The Lender undertakes to process or use the data collected through the Software only to the extent necessary and as long as necessary to properly execute in accordance with the data protection laws of Kenya and as shall be amended from time to time.

5.10 The Borrower enjoys a right to access, rectify, port, and erase their data or limit its processing. For all requests, the Borrower is to contact the Lender's Data Protection Officer through legal@watuafrika.co.ke

6. Miscellaneous

6.1. Any notice, demand or other communication to the Borrower by the Lender under or in connection with this Agreement shall be made in writing and, unless otherwise stated and to the extent permitted by law, may be given or made by letter, mobile text message (SMS), e-mail, push notification on Device or through an advertisement in a newspaper with national circulation.

6.2. No failure or delay by the Lender in exercising any right, power or privilege shall impair the same or operate as a waiver thereof, nor shall any single or partial exercise of any right, power or privilege preclude any further exercise thereof or the exercise of any other right, power or privilege. The rights and remedies herein provided are cumulative and not exclusive of any rights and remedies provided by law.

6.3. A certificate by an officer of the Lender as to the amounts outstanding under this Agreement, for the time being, shall, save in the case of manifest error, be binding and conclusive upon the Borrower.

6.4. If at any time any provision of this Agreement is or becomes illegal, invalid or unenforceable in any respect under the law, the legality, validity and enforceability of the remaining provisions of this Agreement shall not in any way be affected or impaired thereby.

6.5. The parties agree that this Agreement constitutes the whole and entire agreement between the parties relating to the Loan and supersedes and extinguishes any prior agreements, undertakings, representations, warranties and arrangements of any nature whatsoever whether or not in writing relating to the Loan.

6.6. No amendment to this Agreement shall be effectual or binding on the parties unless it is in writing and duly executed by or on behalf of each of the parties.

6.7. The Borrower agrees that the Lender may at any time assign and transfer all or any part of its rights or obligations under the Loan Agreement to any person. The Borrower shall not, without the prior written consent of the Lender, assign or transfer any of his rights or obligations or benefits under the Loan Agreement to any person.

6.8. This Agreement shall be governed by the laws of the Republic of Kenya, and parties consent and submit to the jurisdiction of the courts of law of Kenya in respect of all or any claims arising under this Agreement.

6.9. These General Terms of the Loan Agreement are made available at the Lender's office and are available on Watu Credit Limited website at www.watuafrika.com. The Lender may amend and update General Terms from time to time. The General Terms version which is effective on the date of signing of the Special Terms shall apply to the Borrower.

Payment request in relation to Loan Agreement 4LMK12MXVS

The Borrower **Faith Awuor Ochieng** hereby requests the Lender **Watu Credit Limited** to transfer the full amount representing the Device Price of 14,200 KES in relation to purchase of Smartphone Samsung A05 (A055F/DS) 64GB/4GB to Charlodi Communications.

Dated 02 August 2025

SIGNED BY THE BORROWER

Faith Awuor Ochieng

(NAME, LAST NAME)



(SIGNATURE)